

BANK CRM CHURN ANALYSIS

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Agenda

- ❑ PROBLEM STATEMENT
- ❑ DATA SET OVERVIEW
- ❑ WORKFLOW
- ❑ KEY METRICS & INSIGHTS
- ❑ BUSINESS DASHBOARDS
- ❑ KEY FINDINGS AND CONCLUSIONS
- ❑ CUSTOMER RETENTION STRATEGIES

Problem Statement

- ❑ The bank is facing a significant challenge in retaining customers, with a notable percentage of customers exiting over time.
- ❑ The objective of this analysis is to identify key factors contributing to customer churn and understand customer behavior using CRM data. This will help the bank improve customer retention, enhance service delivery, and make data-driven business decisions.

Data Set Overview

Multiple datasets were combined and transformed into a single structured dataset using Excel Power Query.

The dataset consists of key features such as:

- Customer demographic information (age, gender, location)
- Banking details (tenure, balance, product usage)
- Financial indicators (credit score, salary)
- Customer activity and credit card status
- Churn-related data representing exited and retained customers

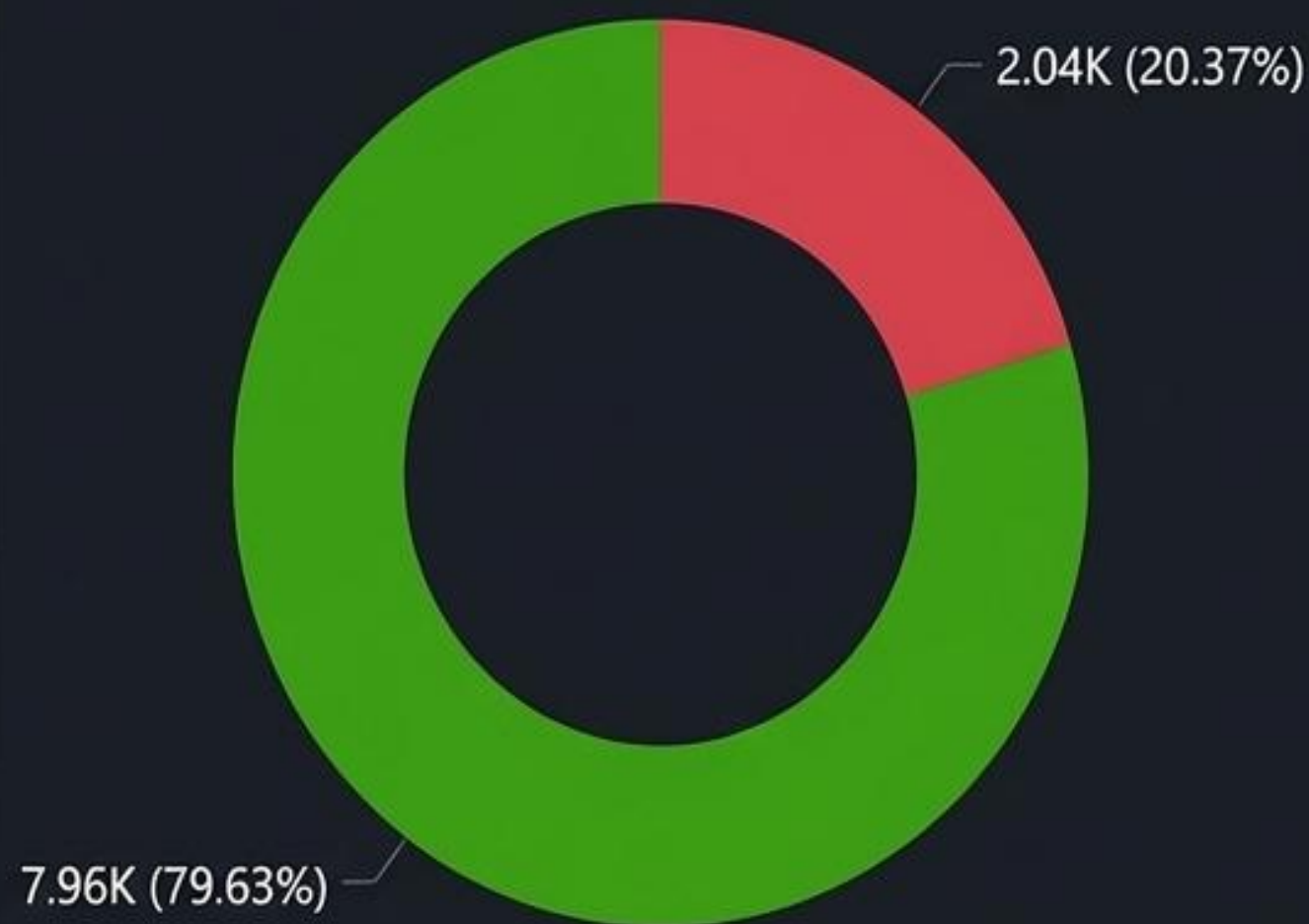
WORKFLOW

- ❑ Data Collection from multiple source tables
- ❑ Data Cleaning and Preprocessing using Excel Power Query
- ❑ Data Integration by merging datasets into a single master dataset using Excel Power Query
- ❑ Data Visualization using Power BI dashboards
- ❑ Insight Generation for business decision-making

KEY METRICS AND INSIGHTS

The Hidden Cost of Losing Customers

Exit vs Retain customers



The Symptom

The bank currently faces a significant 20.37% churn rate (2.04K customers), representing a compounding hidden cost.

The Foundation

A robust 79.63% base remains engaged (7.96K customers), providing a strong foundation for targeted loyalty programs.

The Reality

Every silent exit costs more to replace than to retain; acquisition alone cannot outpace this level of attrition.

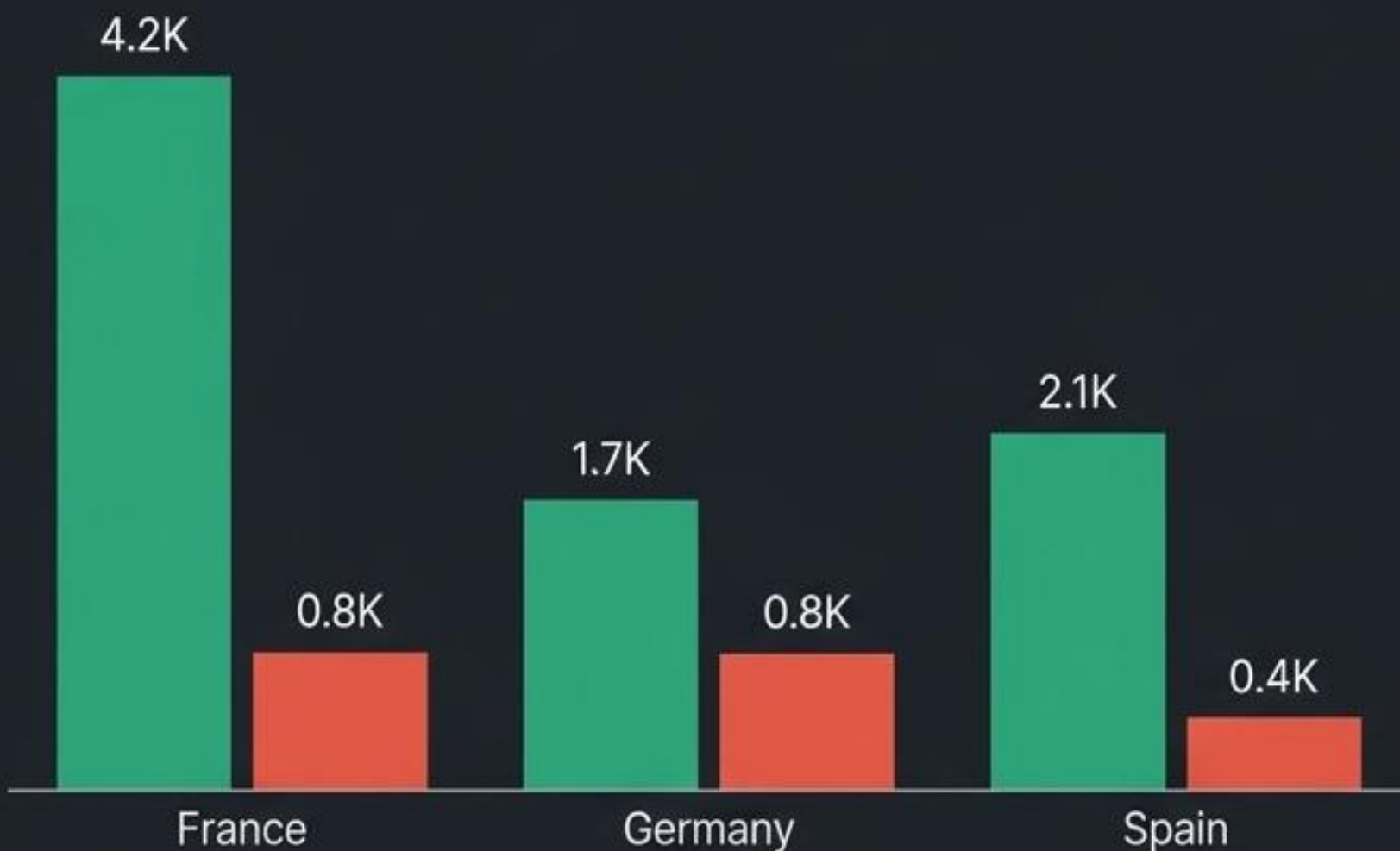
The Shift

We must leverage CRM analytics to transition from reacting to lost accounts to proactively predicting churn.

Geographic Churn Patterns

Activity status by Location

● Retained ● Exited



1

France

Holds the largest customer base (4.2K retained) but generates the highest absolute volume of churn (0.8K).

2

Germany

Displays disproportionate risk: 0.8K exited against only 1.7K retained—nearly a 1:2 churn-to-retain ratio.

3

Spain

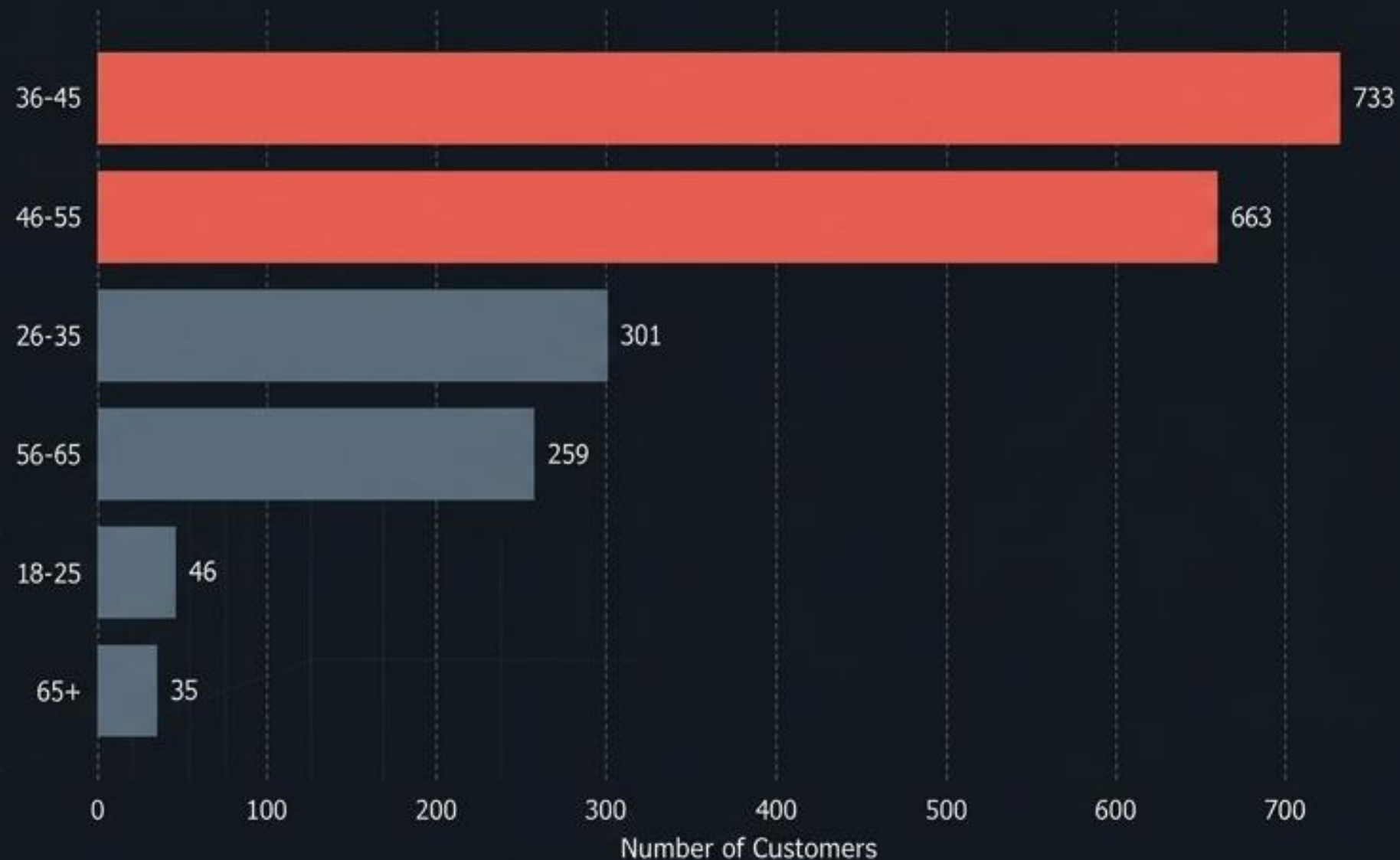
Demonstrates the strongest retention profile, with the lowest overall churn (0.4K) relative to its 2.1K base.

The Takeaway:

Broad, generalized retention strategies will fail; we must deploy region-specific interventions, heavily prioritizing Germany.

Identifying High-Risk Demographics

Churned customers by AgeBucket



Mid-Career Vulnerability

The 36-45 age group is our most vulnerable segment, accounting for the highest absolute volume of lost customers (733).

Secondary Flight Risk

The 46-55 age group follows closely (663), solidifying mid-career professionals as the primary demographic at risk.

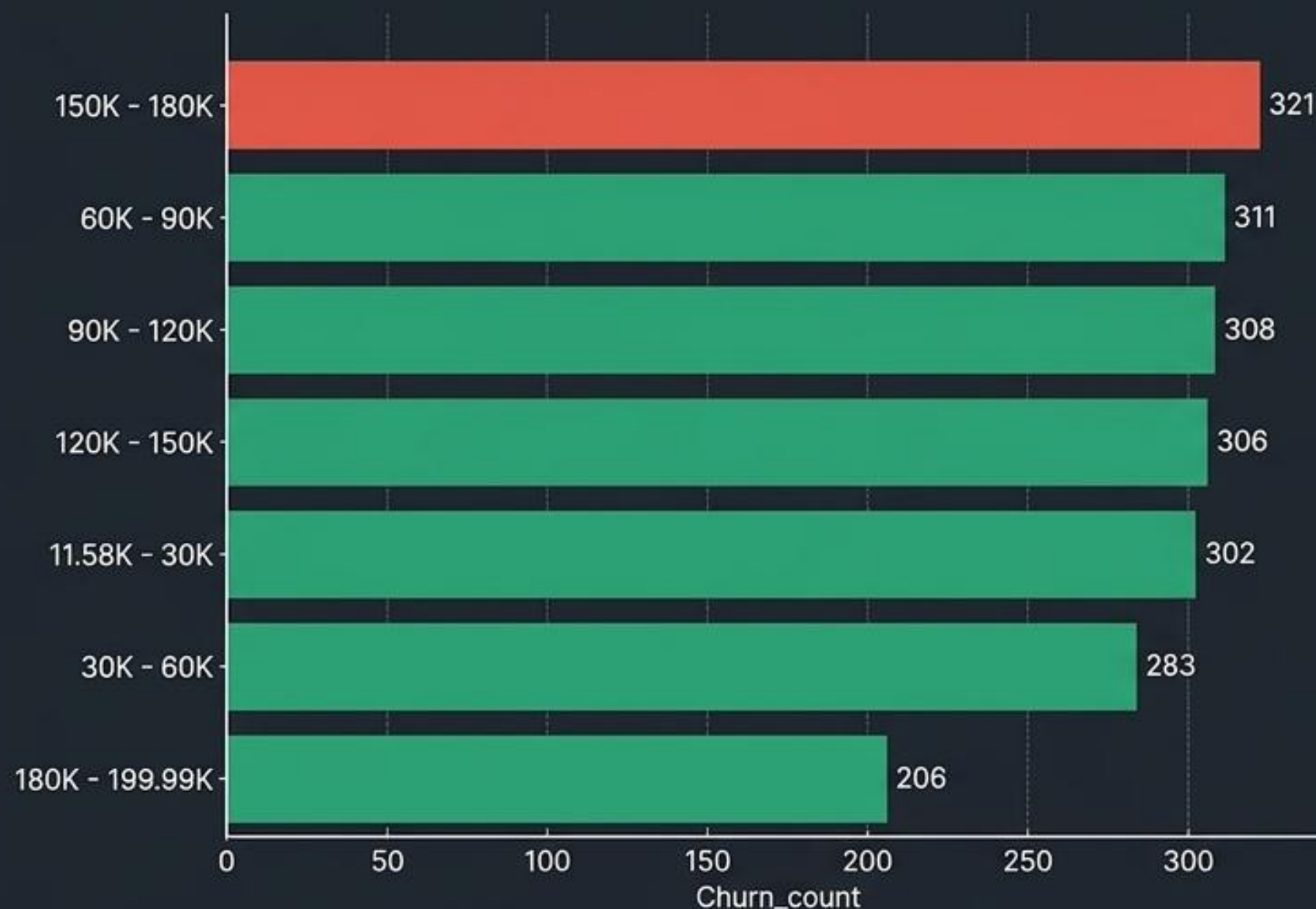
Bookend Stability

Younger customers (18-25) and seniors (65+) show remarkable stability and minimal volatility.

Targeted Action: Retention marketing dollars and personalized service efforts should be aggressively targeted at the core 36-55 demographic.

The Financial Indicators of Churn

Churn count by Salary Bin



The Wealth Drain Anomaly

The highest attrition unexpectedly occurs in the upper-middle-class bracket (150K–180K salary), losing 321 customers.

Steady Middle-Income Churn

Broad middle-income brackets (60K–150K) exhibit consistently steady, evenly distributed churn (~300 exits each).

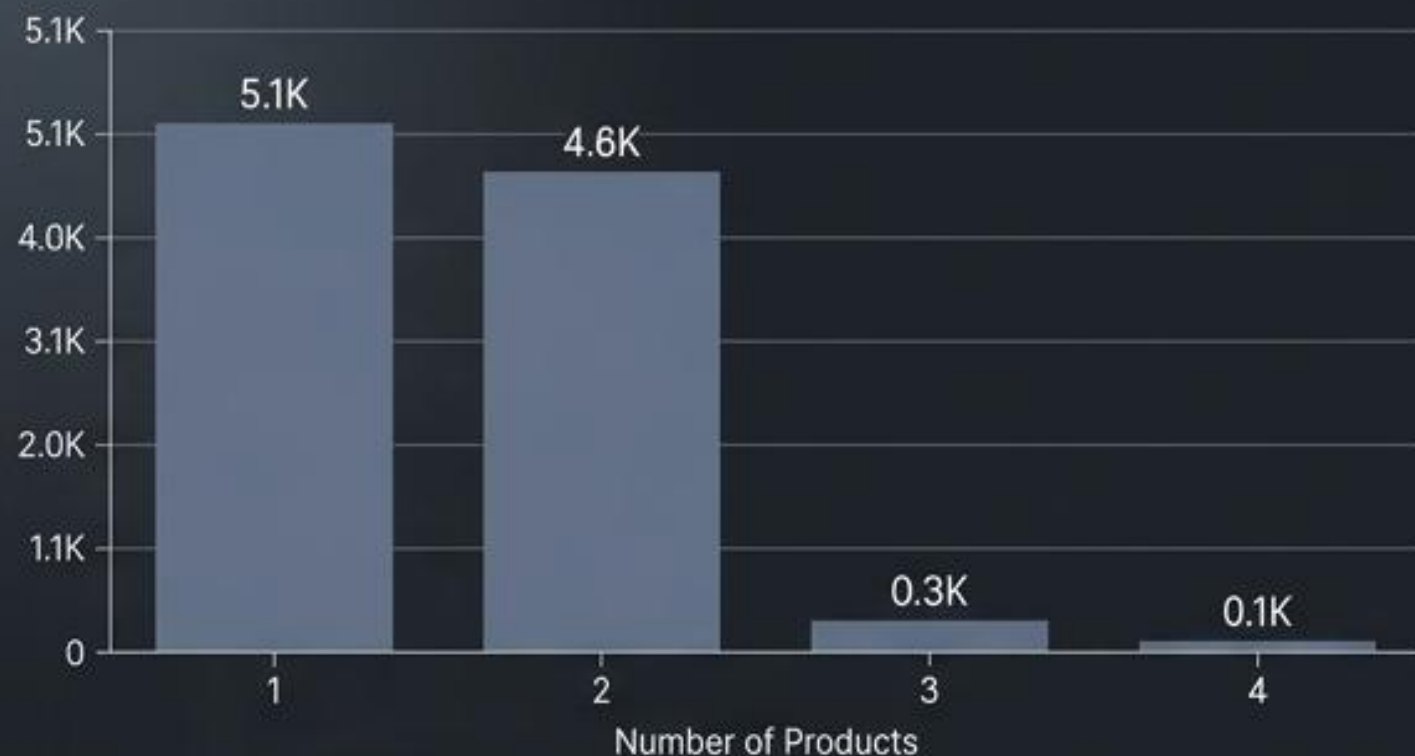
Ultra-Premium Retention

Paradoxically, the absolute highest earners (180K–200K) show the best retention, suggesting our premium tier services are highly effective.

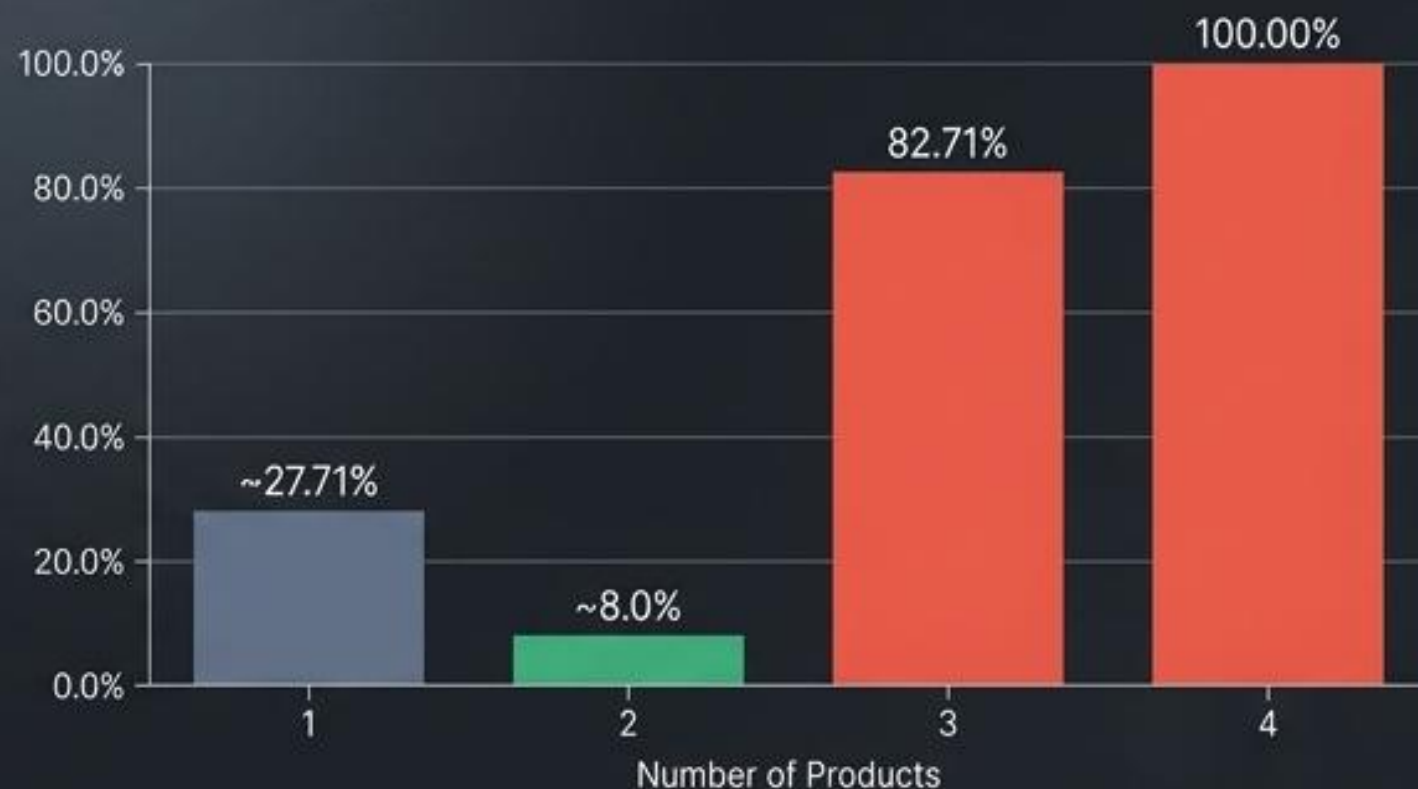
Strategic Mandate: We must urgently re-evaluate and elevate our service offerings for the 150K–180K segment to halt the wealth drain.

Customer Churn Across Product Usage

Customers by Number of Products



Churn Rate by Number of Products



Low Penetration

The vast majority of our base (9.7K customers) holds only 1 or 2 products.

The Loyalty Sweet Spot

Customers holding exactly 2 products are our most loyal (an incredibly low 8% churn rate).

Product Fatigue

Alarming, pushing to 3 or 4 products drives massive attrition (82.7% and 100% churn, respectively).

The Takeaway: Cross-selling must be strictly capped; our strategy should focus solely on migrating single-product users to two products.

BUSINESS DASHBOARDS



Business Performance Dashboard



10K

Total Customers

5151

Active Customers

2037

Churned Customers

20.37

Churn_Rate%

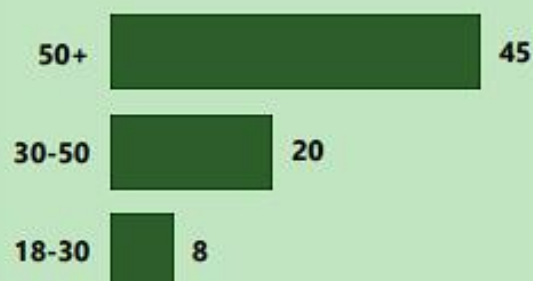
76.49K

Average Bal

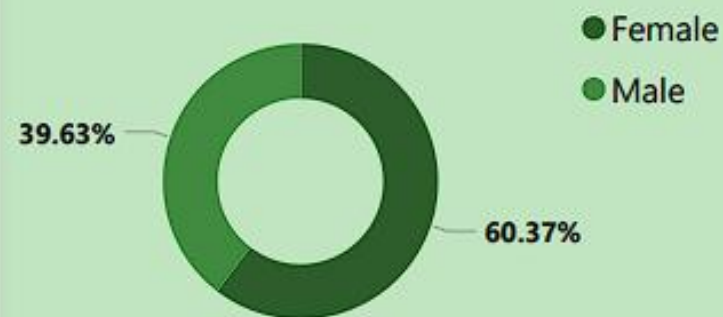
Average Balance by Region



Churn Rate by AgeGroup



Churn Rate by Gender



GeographyLocation

- ☐ France
- ☐ Germany
- ☐ Spain

GenderCategory

All

Churn Rate by Num_of_Products



Customer Growth Over Years



AgeGroup

All

CreditCardCategory

All

Year

All



Customer Profile Overview



10K

Total Customers

5151

Active Customers

4849

Inactive Customers

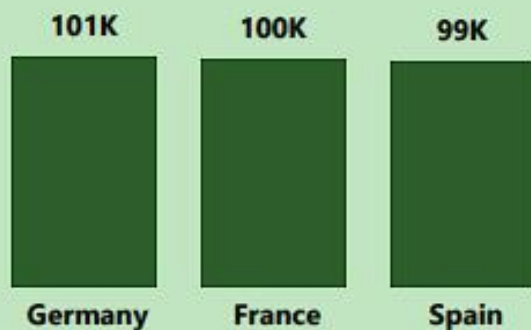
7055

Credit Card Holders

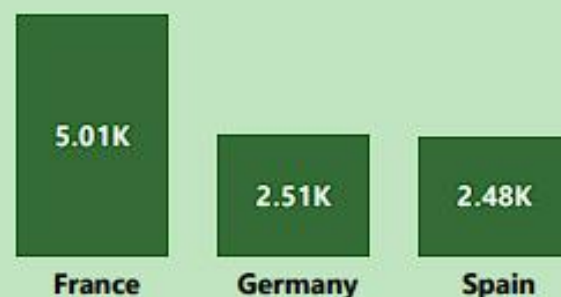
2037

Churned Customers

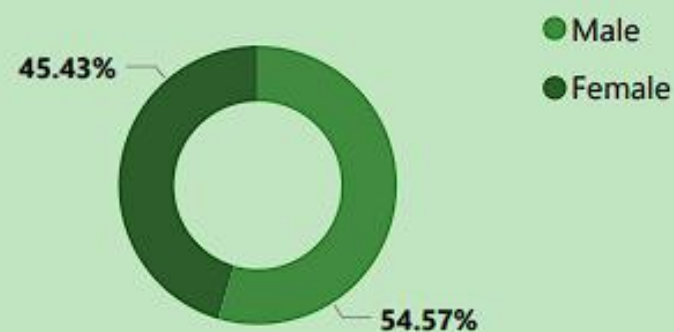
Average Salary by Region



Customer Demographic distribution



Gender Distribution



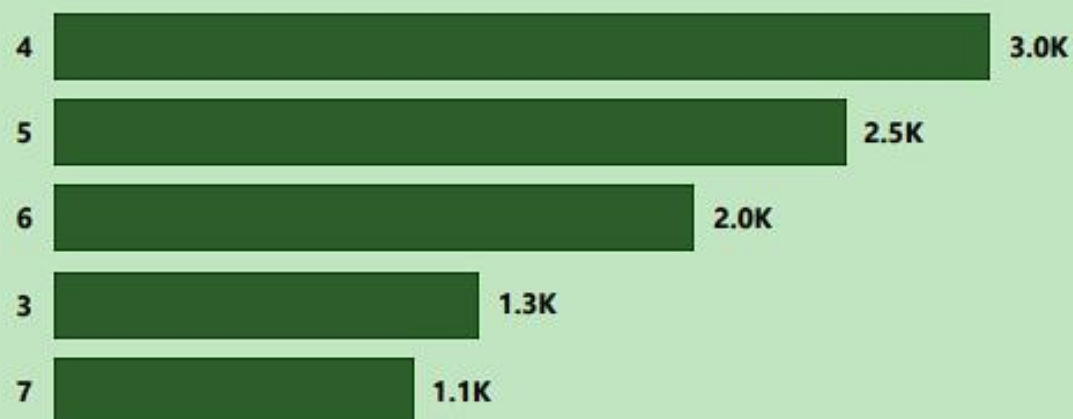
GeographyLocation

- ☐ France
- ☐ Germany
- ☐ Spain

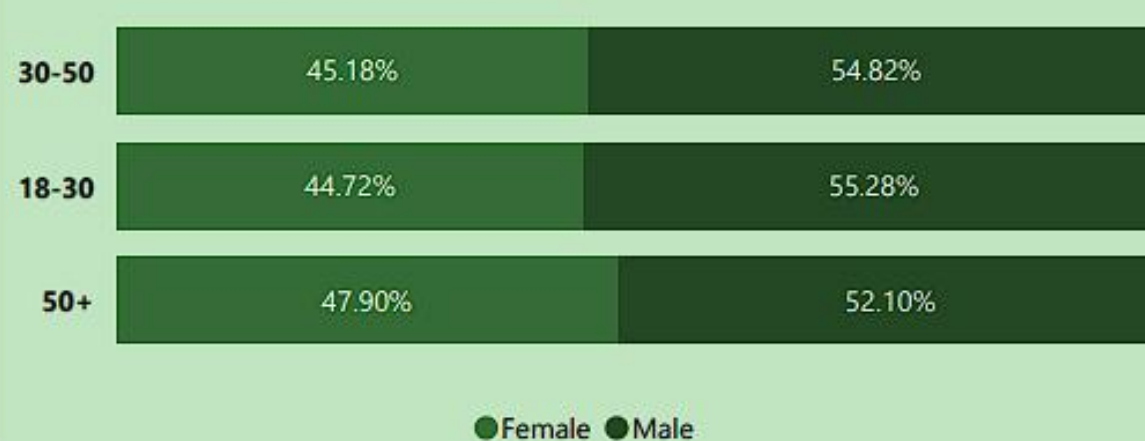
GenderCategory

All

Customer Distribution by Tenure



Age Group Distribution



AgeGroup

All

CreditCardCategory

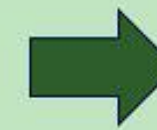
All

Year

All



Engagement and Product Behaviour



10K

Total Customers

5151

Active Customers

4849

Inactive Customers

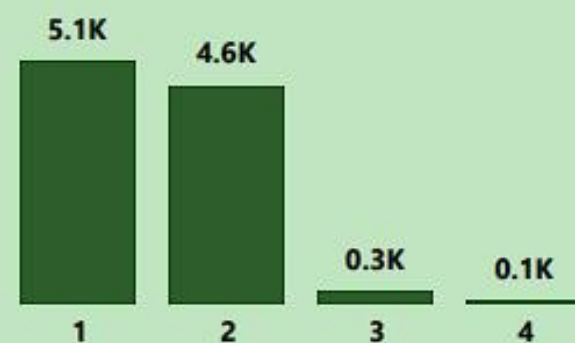
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Credit Card Holders

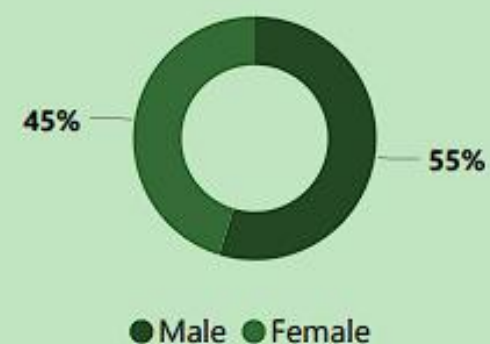
1.53

Product Average

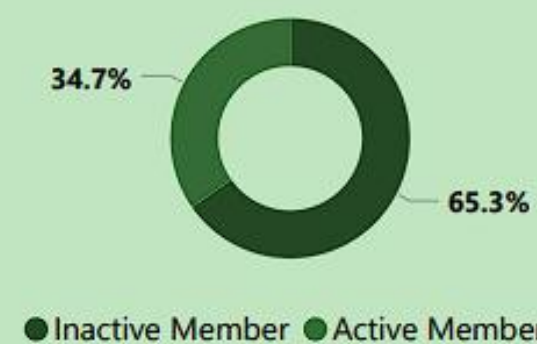
Customers by Number of Products



Credit Card Holders by Gender



Churn Rate by Customer Activity



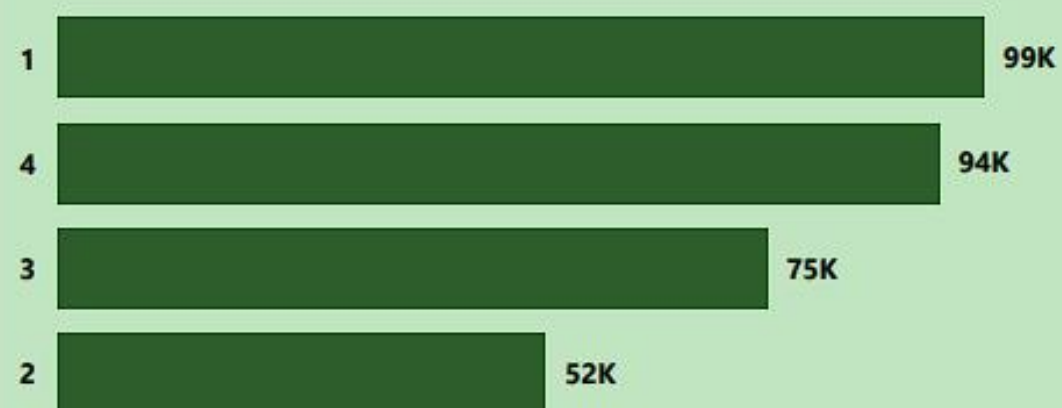
GeographyLocation

- ☐ France
- ☐ Germany
- ☐ Spain

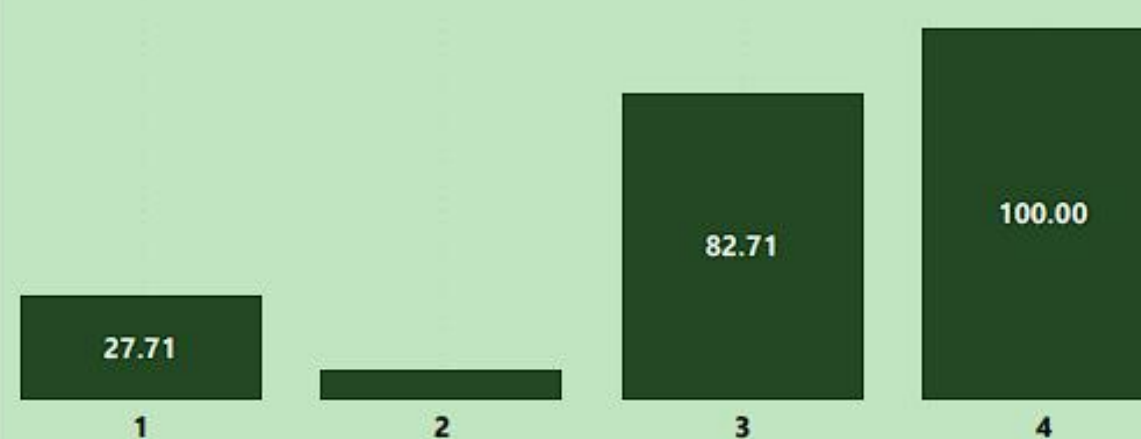
GenderCategory

All

Average Balance by Number of Products



Churn Rate by Number of Products



AgeGroup

All

CreditCardCategory

All

Year

All



Churn Driver Analysis

10K

Total Customers

5151

Active Customers

4849

Inactive Customers

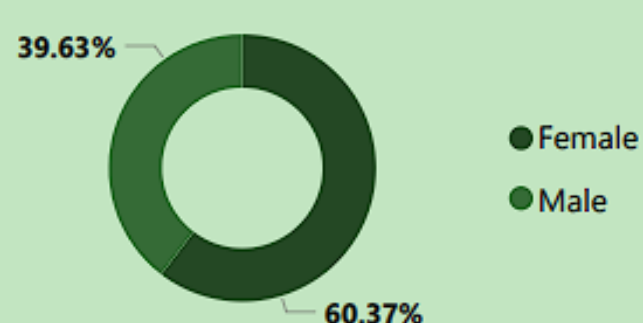
2037

Churned Customers

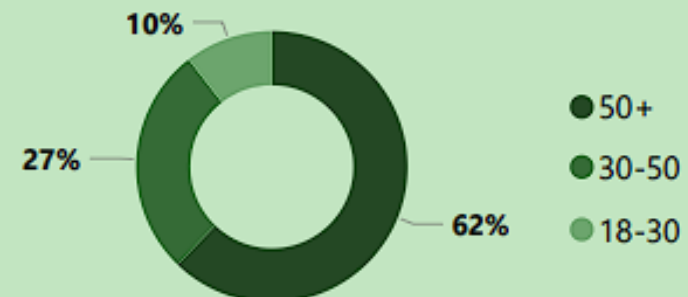
20.37

Churn_Rate%

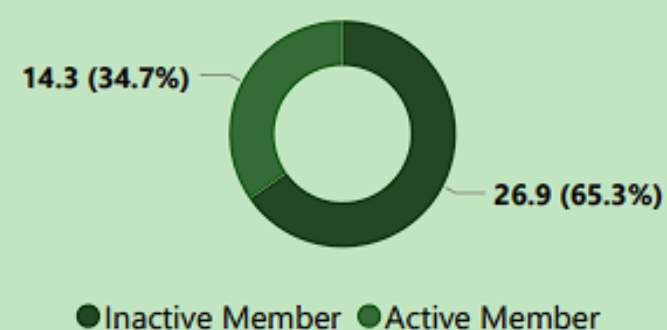
Churn Rate by Gender



Churn Rate by Age Group



Churn Rate by Customer Activity



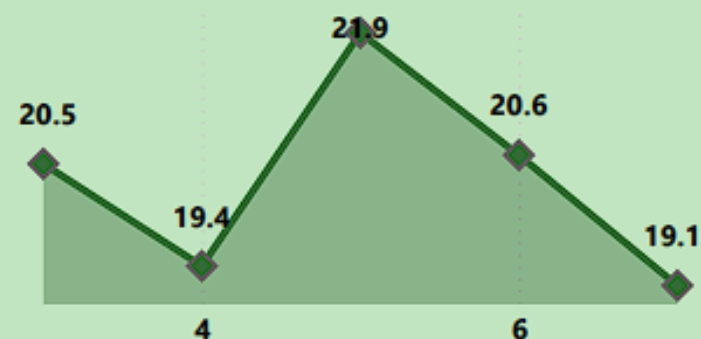
GeographyLocation

- ☐ France
- ☐ Germany
- ☐ Spain

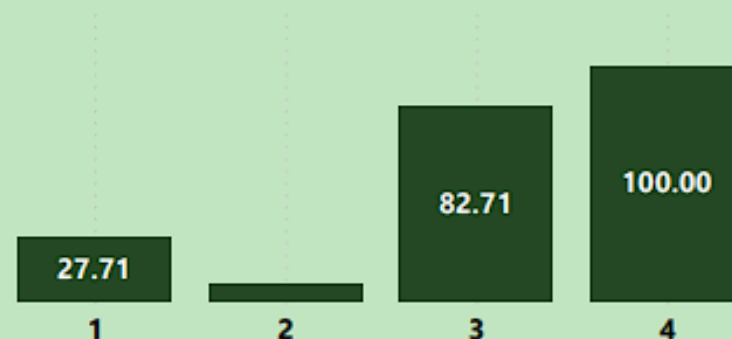
GenderCategory

All

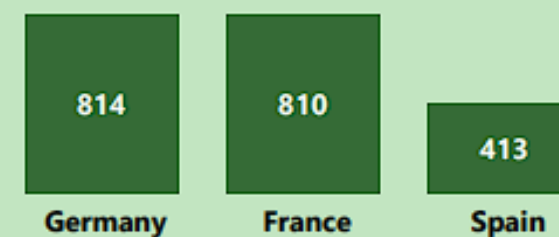
Churn Rate by Tenure



Churn Rate by Number of Products



Demographic Distribution of Churned Customers



AgeGroup

All

CreditCardCategory

All

Year

All

Key Findings & Conclusions



The High-Risk Persona

Our most vulnerable customer is a mid-career professional (36-55 years old) earning 150K-180K, specifically located in Germany or France.



The Two-Product Rule

Product adoption is not strictly linear to loyalty. Two products is the optimal retention state; beyond that, complexity drives customers away.



Systematic Blind Spots

Without targeted analytics, the bank loses high-value customers silently due to poor personalization and generic outreach.



The Path Forward

Data-driven CRM analytics shifts the bank's operational model from reactive acquisition to proactive, predictable retention.

Customer Retention Strategies

Early-Warning Systems

Deploy automated CRM alerts for customers in the 36-55 demographic exhibiting reduced account activity or specific tenure milestones.

Smart Cross-Selling

Cap aggressive, broad-spectrum product marketing. Focus campaigns on migrating single-product holders exclusively to a second product.

Localized Loyalty Initiatives

Launch tailored service enhancements and specialized customer support specifically engineered for the high-risk German market.

Mid-Tier Wealth Re-engagement

Introduce exclusive, personalized benefits for the vulnerable 150K-180K salary band to mirror the retention success of our ultra-premium tiers.



Thank You.

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